



Presents

Letting Profits Run

By Russ Horn

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How do you get the most out of a trade.

As you know, this market environment has been very choppy. It's been moving up and down and sideways in relatively small bounds, so we use the 1:1 risk to reward ratio to help us get the best chance of hitting our profit objectives.

But, sometimes the market will really run away and we miss out on 4 or 5 and sometimes even 10 times our risk amount, meaning if we risk 10 pips on a trade, the market can, at times, move 100 pips.

When we decide on our trading style, we usually will choose to be either a target trader or allow our trades to run. Until now, we've been trading for targets as this is usually the safest way to bag a few pips. It's doing this repeatedly that builds a nice strong account.

We know the markets really do run, and sometimes they are agonizing to see slip away, we feel like we leave so much money on the table.

It's important to note that there will be times when you are trying to catch a runner that it backfires and you will end up losing on the trade. The old-school traders are familiar with this, but in the end when they do catch one of those freight trains, it makes up for all the losers and then some.

But, how can we best take advantage of these market runs?

A better question is how do we know when to get out after a run. It's easy enough to let a trade stay open, but we could end up cleaning out our accounts this way. How do we take the best advantage of a runaway market and close the trade after the run has ended.

We have a few options at our disposal.

Let's take a look at them now.

DPI – Overbought/Oversold

Most of the time, we will be entering a trade when the DPI straddles the zero line. After the market begins to move, often we will see the DPI move far enough to allow the green Nested Histogram to emerge. In a buy trade we want to see the nested histogram rise above the 0 line, in a sell trade we want to see the nested histogram fall below the 0 line.

The trick to get the most of a market move is to wait until the Nested histogram shrinks away to nothing. Once the green nested histogram disappears, we can consider the market to be either overbought or oversold. It's at this time we would exit out position as the major move has likely run its course.

Below we see 2 examples of long trades that we hold on to until the market becomes overbought. Both net us substantially more profit than a 1:1 target.



PSAR

The RRM-PSAR (Parabolic Stop and Reverse) follows the price pretty nicely. It doesn't get too close too soon and will usually allow price to move if there is a market move to be had.

The way the PSAR functions is they will flip from top to bottom as price is being formed right at the dot level. We would wait for the candle to close, and if the dot flips to the opposite side of the market when the candle closes, we would close out trade.

Below you see the same 2 long trades, this time we wait for the candle to close and the PSAR dot flips to the top of the market. Once the candle is closed, and the dot is now on the wrong side, the trade is closed.



13 EMA

There are a couple of ways that we can use the 13 EMA to determine an exit from the market.

1. We would wait for a close on the opposite side of the 13 EMA. (use the 34 EMA to trail your stop loss when you use this method)
2. We would follow the 13 EMA with our stop loss until the price takes us out. The stop loss can be a few pips from the 13 EMA or right on the 13 EMA.

Generally though, the 13 EMA gets us out of a trade a little later than the first 2 options, but there will be the odd time when the 13 EMA will keep us in the market a lot longer.

The example below is a great example of how the 13 EMA kept us in the trade longer than the other options would have (DPI and PSAR methods). It usually doesn't work out quite as well, but this is a cherry-picked image.



Ribbon Crossover

The Ribbon is a great way to exit a trade. It will generally outlast all of the other exit methods and keep you in a trade for a much longer period of time if the market is really committed in moving in one direction.

There are going to be pullbacks against the trend, or even trend changes, where the Ribbon crosses into the direction of the trade you are taking. The exit plan on this trade is to keep the trade as long as the Ribbon is still trending. As soon as the Ribbon crosses into the opposite direction of your trade, exit on the close of the candle that causes the crossover.

Below we see a nice divergent setup that gets us into a short trade early, even before the trend changes. We hang onto the position until the Ribbon crosses upwards.



To allow the trade to run its course and still have a stop loss in place, use the 34 EMA to trail your stop loss. It will protect you in the case of a severe market correction, but be far enough from price to allow the trade to follow-through.

Moving Average Crossover

Like the Ribbon Crossover, we could hang onto our trades until the bigger moving averages crossover in the opposite direction of the trade you are taking.

The Moving Average Crossover can indeed be the Ribbon crossover, but it can also be the longer moving averages.

13/34 Crossover

Just like it sounds, the 13/34 crossover is when the 13 EMA crosses over the 34 EMA in the opposite direction of your trade.



34/89 Crossover

Of course, the same can go with the 34 and the 89 EMA crossover, but this one is not strongly recommended as the price has to pull back considerably to make those indicators cross over. This large pullback will have you giving a lot of your profits back to the market.

Higher Timeframes

Switching to a higher timeframe is a great way to get more out of a trade. It can get a little tricky, but if you can pull it off, you will be greatly rewarded.

The concept is you find a trade on your current timeframe and then once the market begins to move in your favour, you switch to the next higher timeframe to find the same market situation developing there. If you are trailing your stops along the PSAR on the current timeframe, switching to a higher timeframe will give you the same opportunity to do the same thing.

As the market moves on the higher timeframe, it will have a bigger potential to cover more ground and earning you more pips.

Below is the same section on the chart, the first half is the 1 hour and the second half is the 4 hour, and we entered long at the red vertical line. As the price hit a lot of turbulence on the 1 hour, the 4 hour stayed pretty smooth. Following our trade on the 4 hour, after we entered on the 1 hour, would have netted us a lot more profit.



There are times the market can really move, so with these tips and tricks, we can potentially capture a great deal of what the market has to offer us.

Don't worry about not getting the whole run, often that is impossible to do. They say that if you can catch the middle 30% of a market move, then you are doing exceptionally well when it comes to catching a trend.

These techniques will help you catch that 30%, sometimes you can capture much more.

Good trend-catching!.

Russ Horn